Goldman Sachs' Copper Outlook and BHP's $6 Billion Escondida Decision

Near-term earnings exposure and the economics of replacement

Research cutoff: 5 November 2026

DRAFT · REVIEW GATES PENDING

Goldman's $1,600/t revision implies a $2.83bn FY2026-static EBITDA sensitivity

Static copper EBITDA differential, US$bn, from BHP's disclosed FY2026 sensitivity

#	Item	Differential
1	**GS revised vs previous**	2.83
2	**GS revised vs World Bank**	4.25

US$bn, FY2026-static

1. $15,400/t against $13,800/t, applied to BHP's $39m per US¢1/lb sensitivity; linear.
2. $15,400/t against the World Bank's $13,000/t for the 2027 annual average, on the same basis.

Both figures are sensitivities, not forecasts. The replacement concentrator needs about 199ktpa to clear a 10% return in SMPT's hypothetical base case, rising to 333ktpa when benefits are shorter and start later. Funded pre-FID readiness is the supported position; ranking construction timing needs an operating counterfactual BHP has not published.

Source: BHP FY2026 results presentation and Annual Report 2026; World Bank CMO October 2026; Goldman Sachs revision as publicly reported; SMPT calculations

Goldman's revised 2027 average sits 18.5% above the World Bank

Calendar-2027 copper price references, US$/t



The $15,400/t annual average comes from public reporting; the original 19 October note was not obtained. Goldman's $15,600/t end-2027 view is a different measure and is not charted. The $14,405/t forward is a dated 19 October snapshot, not a tradable curve.

Source: World Bank CMO October 2026, Table 1; FinancialJuice and Reuters via Business Recorder reporting of Goldman Sachs; Goldman Sachs Exchanges, 23 October 2026

Copper EBITDA rose to $18.2bn in FY2026 as production slipped

BHP reported results, US$bn unless labelled, fiscal years to 30 June

#	Item	FY2025	FY2026
1	**Copper revenue**	22.530	29.031
2	**Copper underlying EBITDA**	12.326	18.187
3	**Group underlying EBITDA**	25.978	32.947
4	**Copper production, Mt**	2.017	1.953

US$bn unless labelled

2 Copper is 55.2% of group EBITDA by simple division; BHP's stated 54% share excludes Group and unallocated items.

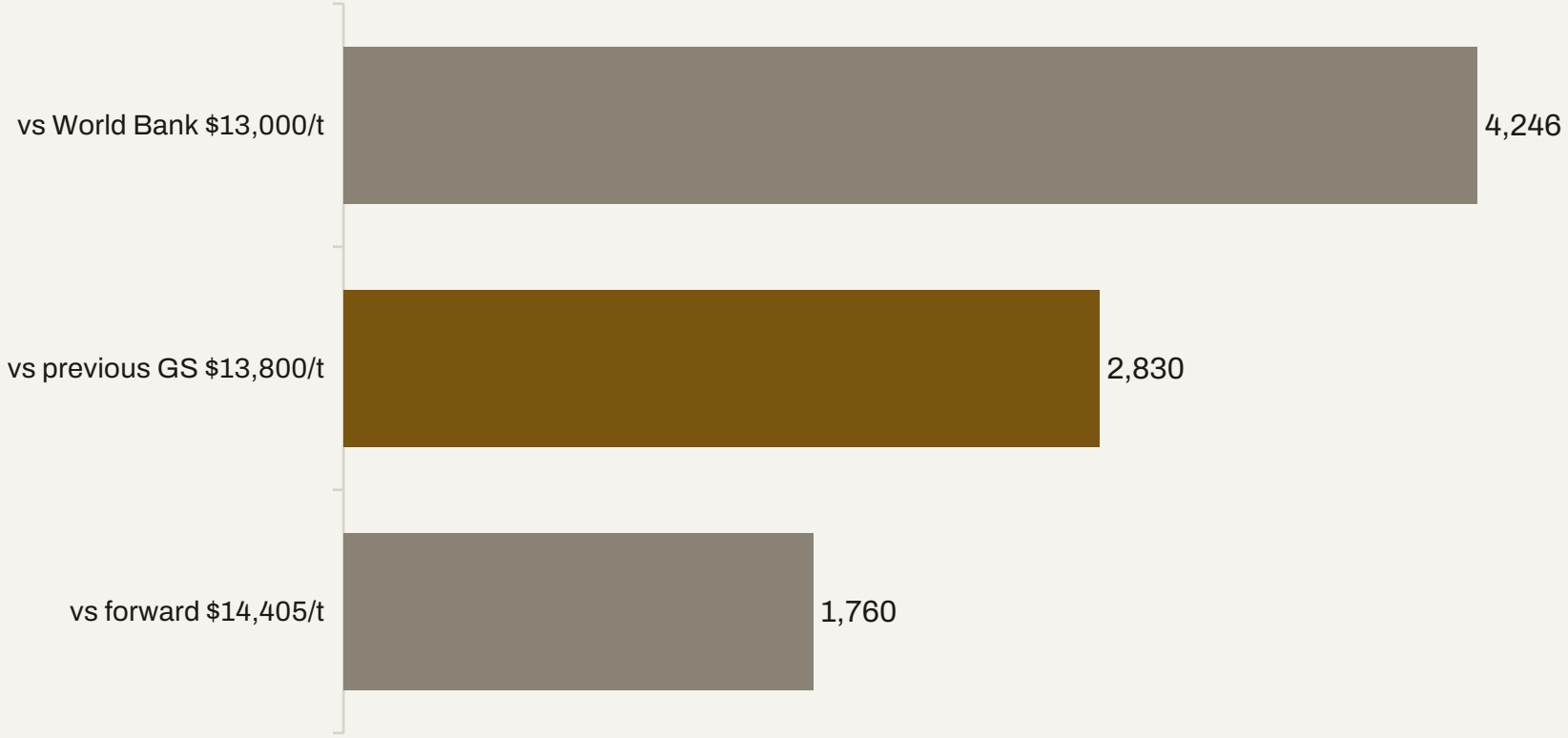
4 Group copper production on the mixed basis BHP reports.

EBITDA rose by $5.861bn while group production fell, as the average realized price moved from $4.25/lb to $5.74/lb. The figures show the size of the exposure; they do not attribute the whole increase to price.

Source: BHP FY2026 results presentation and exchange release; BHP Annual Report 2026

Each price comparison scales BHP's $39m sensitivity in a straight line

Static FY2026 copper EBITDA differential against Goldman's revised $15,400/t, US$m

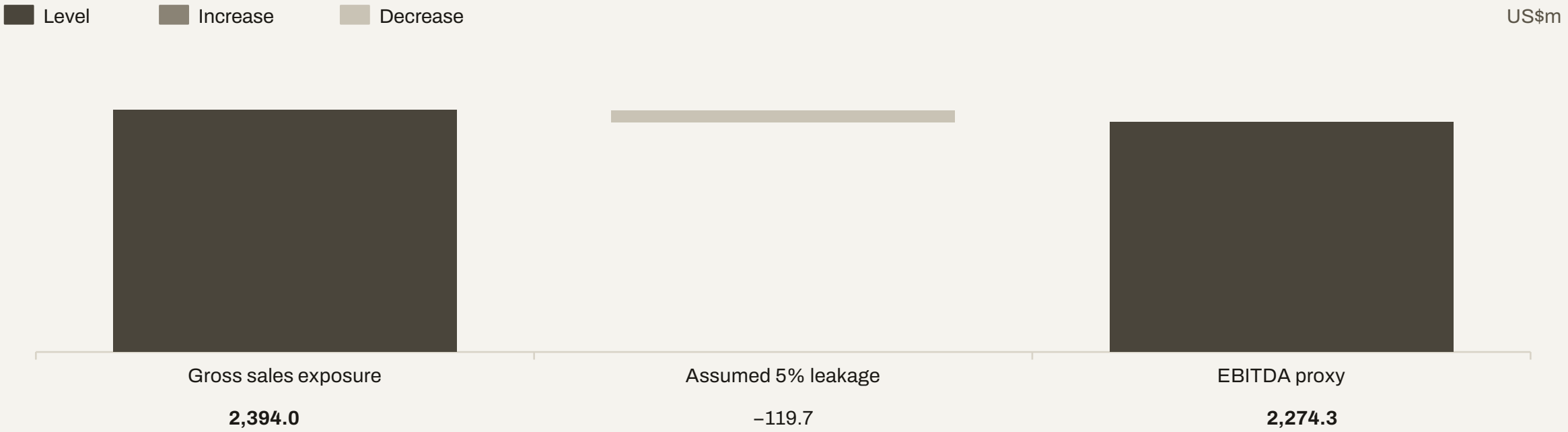


Differential = price gap ÷ 2,204.6226 × 100 × $39m. The results equal about 9% and 13% of FY2026 group EBITDA for the previous-Goldman and World Bank comparisons. BHP realized $7.01/lb (about $15,454/t) in Q1 FY2027. Linear sensitivities, not forecasts.

Source: BHP FY2026 results presentation; BHP Q1 FY2027 operational review; SMPT Price_Sensitivity calculations

A FY2027-volume proxy yields a smaller $2.27bn EBITDA illustration

Illustrative FY2027 EBITDA effect of the $1,600/t revision, US$m

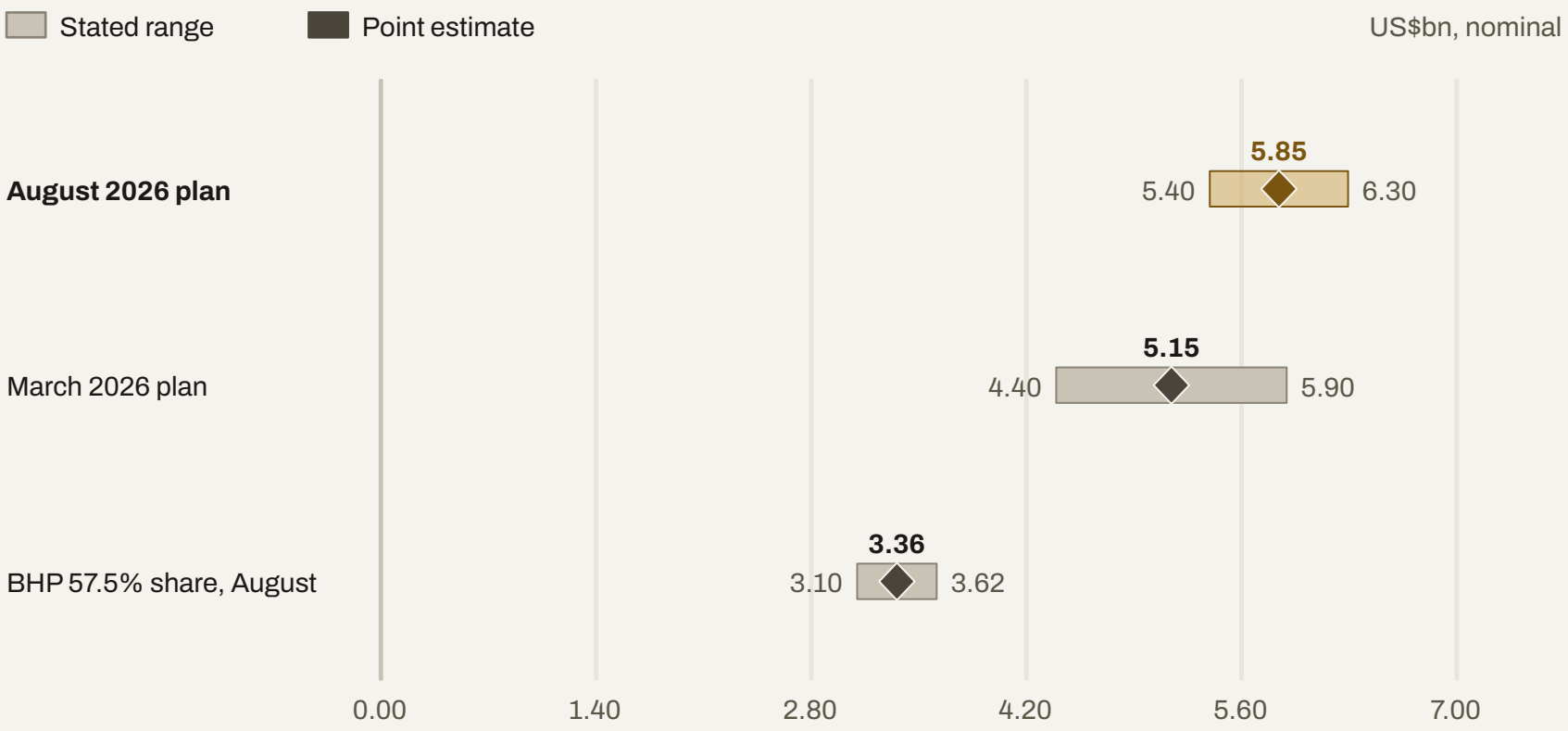


1.575Mt guidance midpoints × 95% assumed payable factor = 1.496Mt; × $1,600/t = $2,394m; less 5% assumed leakage = $2,274.3m, about 19.6% below the $2,830m issuer-static figure. The two measures use different periods and volume scopes. Neither is a forecast or a measure of funding capacity.

Source: BHP Q1 FY2027 operational review guidance; SMPT methodology proxy calculation

BHP raised the concentrator capex range to $5.4–6.3bn in August

Escondida replacement concentrator capital cost, US$bn nominal; points are range midpoints



The August midpoint is 13.6% above March, and the output midpoint 4.2% higher (230–270ktpa against 220–260ktpa, FY34–43 average). The change is a plan revision, not a reported overrun. Output replaces Los Colorados rather than adding capacity. Permit submitted 17 March 2026; RCA pending; FID CY2027–28; first production CY2031–32.

Source: BHP FY2026 results presentation; BHP Escondida permit submission, March 2026; SEIA index, retrieved 5 November 2026

The midpoint capex needs $839m a year of after-tax benefit at 10%

SMPT hypothetical reverse appraisal, US$m nominal

#	Item	Value
1	**Capex midpoint**	5,850
2	**Present value of capex**	4,435
3	**Required annual benefit**	839

US$m, nominal

2 Five equal year-end draws, 2027–31, discounted at 10% nominal.

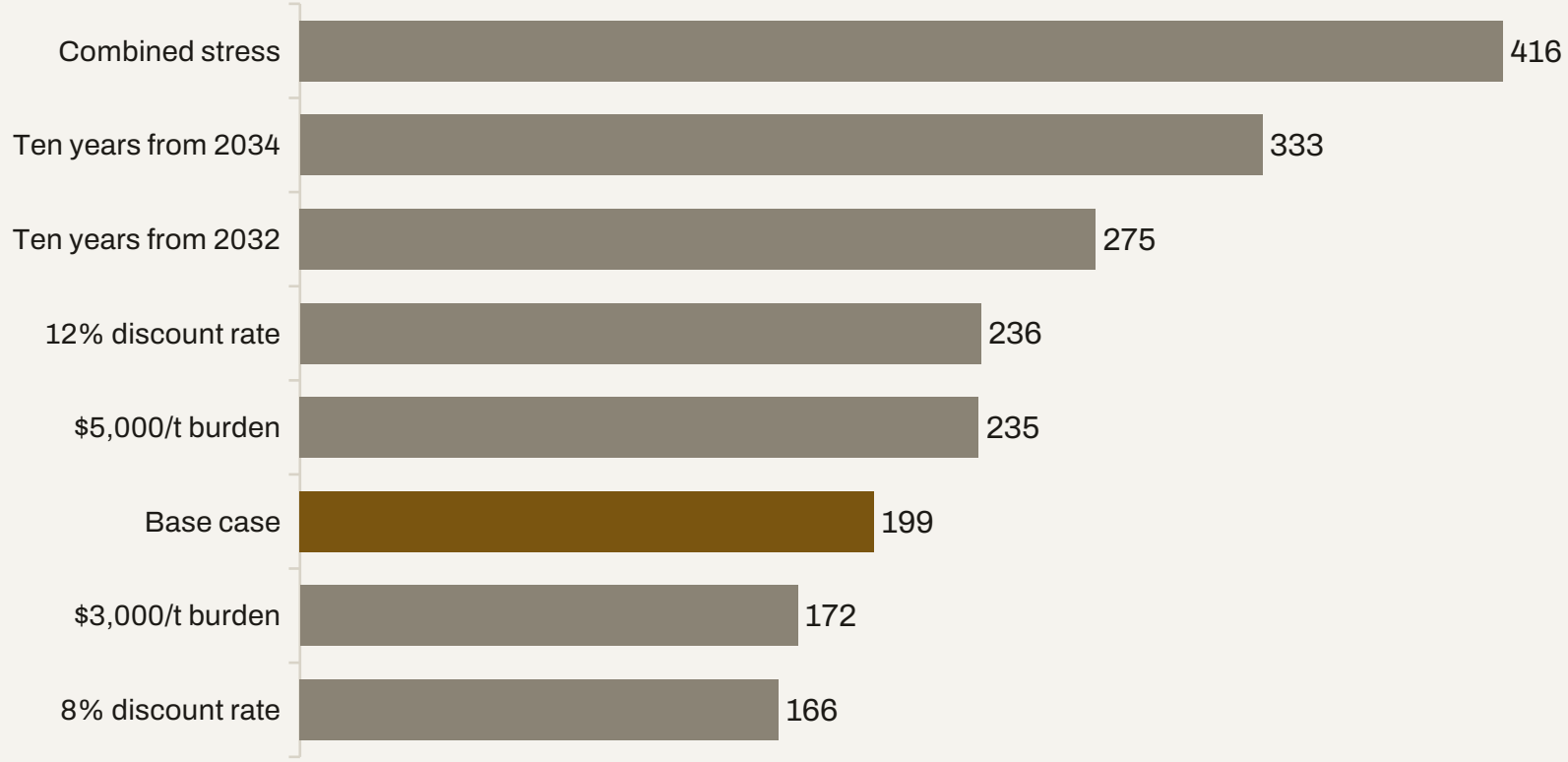
3 Twenty years from 2032. At $10,494/t, a $4,000/t assumed burden (not C1) and 35% tax, this needs 198.8ktpa.

> This is SMPT's hypothetical calculation against a no-build baseline. BHP discloses a 16–18% IRR at $4.76/lb (about $10,494/t); these calculations do not reproduce it.

Source: BHP FY2026 results presentation; SMPT methodology and Threshold_Sensitivities calculations

Shorter or later benefits raise the threshold from 199ktpa to 333ktpa

Annual output needed for a 10% nominal return, SMPT hypothetical cases, ktpa

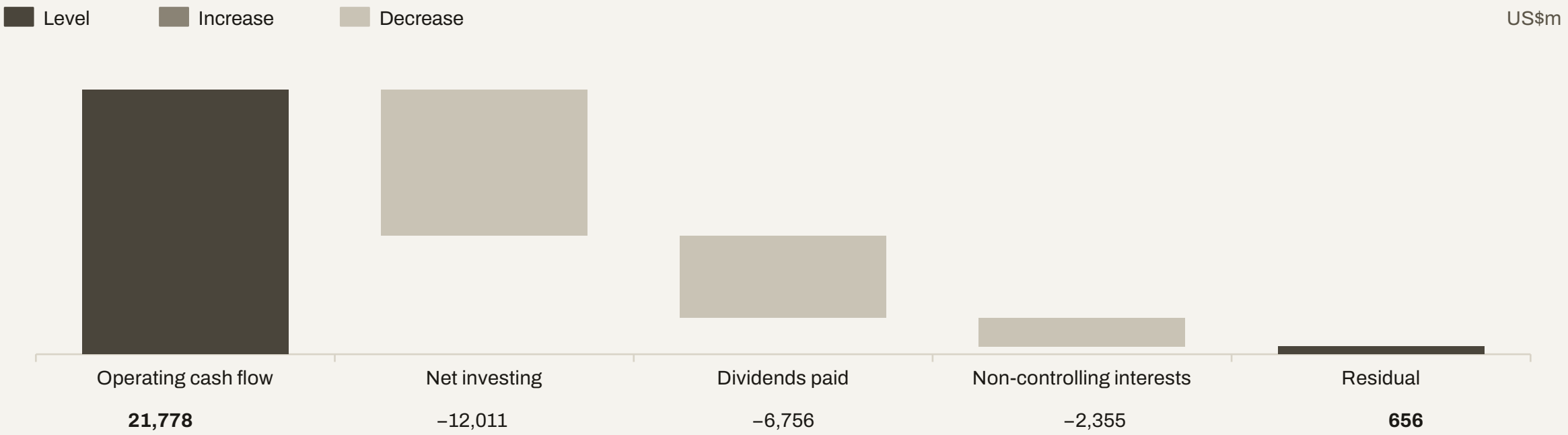


BHP's 230–270ktpa guidance is an FY34–43 average and does not establish twenty flat years. Combined stress applies $8,500/t, +20% capital and a two-year delay. Each case changes one input from the base unless labelled.

Source: SMPT Threshold_Sensitivities calculations; BHP FY2026 results presentation for the output guidance

Dividends and minority payouts absorbed almost all FY2026 free cash flow

BHP group cash flow, FY2026, US$m



21,778 – 12,011 = 9,767 free cash flow; less 6,756 dividends and 2,355 to non-controlling interests leaves 656. The $4.3bn silver stream is a financing inflow and is excluded. Copper free cash flow of $12bn (FY27–31) and $24bn (FY32–35) are management scenarios. Group capex runs about $11bn a year; net debt $8.694bn, cash $18.532bn, undrawn RCF $5.5bn.

Source: BHP Annual Report 2026, cash flow statement and capital management; BHP FY2026 results presentation

Public evidence supports funded readiness ahead of a construction decision

Timing actions and the evidence each would need; the first is the supported position

Maintain funded pre-FID readiness	Supported now. The replacement need is credible and no costed avoided loss has been shown; each preparatory commitment needs a defined purpose, through permit, engineering and return gates.
Stage, re-scope or defer	If alternative circuits protect production cheaply, the mature cost or recovery profile weakens returns, or irreversible works face material redesign risk.
Accelerate major construction	Needs an annual operating plan showing unavoidable retirement losses worth more than the acceleration premium and added execution risk, plus approved permits, safe interfaces, supplier availability and a costed schedule.
Accelerate selected preparatory work	Where the information or schedule protection is worth its cost, such as avoiding a costed schedule bottleneck.

> Ranking the actions needs annual with-build and no-build output, alternative processing, capital draws, ramp-up, costs, tax and closure obligations, none of which BHP has published. Equal schedule shifts cancel in the discount factor, so timing alone does not rank them.

Source: SMPT analysis of BHP FY2026 results presentation and Annual Report 2026; SMPT methodology